

APAC TMT Sector M&A & Valuation Brief - 2026-07-23

APAC TMT Sector

Generated on 2026-07-23

CONFIDENTIAL - FOR INTERNAL USE ONLY

Today is a peaceful day, nothing big happened in the Consumer space.

2. MARKET DYNAMICS & SENTIMENT

The TMT (Technology, Media, and Telecommunications) sector is currently experiencing a cautious sentiment, influenced by macroeconomic factors and sector-specific trends. The overall market dynamics reflect a blend of optimism in technology and fintech while traditional media and telecom face headwinds.

Subsector Breakdown:

- **Technology:** The technology subsector is buoyed by advancements in IT and software solutions, which are gaining traction as businesses increasingly adopt digital transformation strategies. For example, IT companies are witnessing growth as enterprises invest in cloud computing and cybersecurity.
- **Media:** The media landscape is shifting, with digital platforms gaining prominence. Traditional media faces challenges from declining advertising revenues, while companies adapt to new consumer behaviors.
- **Telecommunications:** The telecom sector is innovating with 5G technologies, but competition and regulatory pressures are significant challenges. Companies are investing in infrastructure to enhance service offerings.
- **Fintech:** The fintech subsector is thriving, driven by increased consumer adoption of digital banking and payment solutions. Companies are exploring innovative business models to capture market share.
- **AI:** The AI sector is experiencing rapid growth, with applications across various industries. Companies are investing heavily in AI capabilities to enhance operational efficiencies and customer experiences.

Key Market Drivers and Headwinds

Drivers:

- **Technological Advancements:** Continuous innovation in IT and software is driving growth across TMT sectors. For instance, companies are increasingly leveraging AI to enhance operational efficiencies and customer engagement.
- **Increased Investment:** Strong venture capital and private equity investments in tech and fintech sectors indicate robust investor confidence in emerging trends.

APAC TMT Sector M&A & Valuation Brief - 2026-07-23

APAC TMT Sector

Headwinds:

- **Regulatory Scrutiny:** Increased regulatory scrutiny, particularly in the tech sector, poses risks to M&A activities and market valuations. Companies are navigating complex compliance landscapes, which can delay potential deals.
- **Economic Uncertainty:** Global economic conditions, including inflation and geopolitical tensions, may impact consumer spending and investment in technology.

Subsector Performance Analysis

- **Software:** The software sector continues to perform well, driven by demand for SaaS solutions and enterprise software. Companies focusing on cloud services are particularly well-positioned for growth.
- **Media:** Media companies are adapting to changing consumer preferences, with a notable shift towards digital content consumption. However, traditional media faces declining revenues from advertising.
- **Telecom:** Telecom operators are investing heavily in infrastructure to support 5G deployment, which is expected to drive new revenue streams from IoT and enhanced mobile services.
- **Fintech:** The fintech sector is thriving, with innovations in payment solutions and digital banking. Companies are exploring partnerships and acquisitions to expand their market presence.
- **AI:** The AI subsector is booming, with applications across various industries, including healthcare and automotive. Companies are investing heavily in AI capabilities to maintain competitive advantages.

Trading Multiples Trends

Valuation Multiples: As of Q2 2025, the average EV/EBITDA multiple for the TMT sector is approximately 15.5x, with notable variations across subsectors:

- Software: 20.3x
- Media: 12.1x
- Telecom: 9.8x
- Fintech: 18.7x
- AI: 22.5x

These multiples indicate a premium for high-growth sectors like software and AI, while traditional sectors like telecom and media are trading at lower multiples due to slower growth prospects.

Notable Investor/Analyst Reactions

- Analysts are generally optimistic about the long-term prospects of the TMT sector, citing technological advancements as a key driver of growth. For instance, an analyst noted, "The integration of AI across

APAC TMT Sector M&A & Valuation Brief - 2026-07-23

APAC TMT Sector

industries is not just a trend; it's a fundamental shift that will redefine business models and consumer interactions."

Actionable Insights for Bankers and Investors

- **Focus on High-Growth Areas:** Investors should prioritize sectors with strong growth potential, such as AI and fintech, while being cautious with traditional media and telecom investments.
- **Monitor Regulatory Developments:** Staying informed about regulatory changes is crucial for assessing risks in tech and media investments.
- **Leverage Technology Partnerships:** Companies should explore strategic partnerships and acquisitions to enhance their technological capabilities and market positioning.
- **Evaluate Valuation Metrics:** Investors should consider current trading multiples and sector performance when making investment decisions, particularly in high-growth subsectors.

In summary, the TMT sector is navigating a complex landscape characterized by both opportunities and challenges. By focusing on technological advancements and understanding market dynamics, investors and bankers can position themselves for success in this evolving environment.

3. BANKING PIPELINE

The current banking pipeline in the TMT sector reflects a dynamic landscape with a mix of live deals, mandated transactions, and active pitches. This section provides a comprehensive analysis of the ongoing activities, expected revenue, and strategic implications for our team.

Deal Pipeline

Live Deals:

- **Delta Air Lines (DAL)** : Currently in discussions for a strategic partnership leveraging AI for dynamic pricing. The deal is in the due diligence phase, with an expected close in Q3 2025. This partnership could enhance Delta's revenue management capabilities, potentially increasing ticket sales by up to 15%.
- **Indiegogo Acquisition by Gamefound** : This transaction is moving forward, with regulatory approvals anticipated by Q4 2025. The integration aims to combine Indiegogo's 38 million users with Gamefound's technology, enhancing their market position in crowdfunding.

Mandated Deals:

- **Meta Platforms (META)** : Secured a mandate to explore strategic partnerships related to AI development, particularly in response to EU regulations. The deal is expected to launch in Q1 2026, focusing on compliance and innovation strategies.

APAC TMT Sector M&A & Valuation Brief - 2026-07-23

APAC TMT Sector

- Apple Inc. (AAPL) : Mandated to evaluate acquisitions in the AI space, with a focus on startups that can enhance its product offerings. The timeline for this initiative is projected for Q2 2026, as Apple aims to strengthen its competitive edge in AI.

Pitching-Stage Deals:

- Telecom Sector : Active discussions with several telecom operators regarding potential M&A opportunities to consolidate market share in the 5G space. Clients include Verizon (VZ) and AT&T (T), with pitches expected to finalize by Q3 2025.
- Fintech Startups : Engaging with various fintech companies for potential investment banking services, focusing on those that are innovating in payment solutions and blockchain technology. Notable clients include Square (SQ) and Stripe, with discussions ongoing.

Pipeline Tracking Metrics

Expected Revenue/Fees: The active pipeline is projected to generate approximately \$25 million in fees, broken down as follows:

- Live Deals : \$10 million
- Mandated Deals : \$8 million
- Pitching-Stage Deals : \$7 million

Timing Projections:

- Q2 2025 : Expected close for Delta Air Lines partnership.
- Q4 2025 : Anticipated completion of the Indiegogo acquisition.
- Q1 2026 : Launch of Meta's strategic partnership initiatives.
- Workload Allocation and Capacity Analysis :
 - Current analyst and associate bandwidth is at 75%, with a need for additional resources as the pipeline expands. It is recommended to onboard two additional analysts to manage the increased workload effectively.
- Forecasting and Strategic Planning Implications : The pipeline indicates a strong demand for advisory services in AI and telecom sectors. Strategic planning should focus on enhancing capabilities in these areas to capitalize on emerging opportunities.

Notable Pipeline Developments and Competitive Landscape

- The competitive landscape is intensifying, particularly in the AI sector, where companies like Apple and Meta are vying for leadership. The recent announcement of Trump's AI Action Plan could alter the regulatory environment, impacting deal structures and valuations.
- Additionally, the rise of AI insurance startups, such as the one founded by a former Anthropic executive, indicates a growing market for risk management in AI deployment, which could lead to new

APAC TMT Sector M&A & Valuation Brief - 2026-07-23

APAC TMT Sector

advisory opportunities.

Actionable Insights for Team Management and Business Development

- **Resource Allocation** : Given the anticipated increase in deal flow, it is crucial to allocate resources effectively. Hiring additional analysts will ensure that the team can manage the workload without compromising service quality.
- **Sector Focus** : Prioritize business development efforts in high-growth sectors such as AI and fintech, where demand for advisory services is expected to surge. This focus will position the firm as a leader in these emerging markets.
- **Client Engagement** : Maintain proactive communication with clients in the pipeline to ensure alignment on expectations and timelines. Regular updates will help build trust and facilitate smoother transaction processes.

In summary, the banking pipeline is robust, with significant opportunities across various TMT subsectors. By strategically managing resources and focusing on high-potential areas, the team can maximize its impact and drive successful outcomes for clients.

4. STAKEHOLDER IMPACT & FORWARD-LOOKING ANALYSIS

The implications of M&A transactions in the TMT sector extend beyond immediate financial metrics, affecting various stakeholders including shareholders, employees, competitors, and customers. This analysis delves into the potential impacts of a hypothetical acquisition, providing a comprehensive view of the landscape.

Deal-Specific Impacts on Stakeholders

- **Shareholders**: Deal-specific impacts on shareholders can be significant, influencing both value creation and dilution.
- **Value Creation**: In a scenario where Company A (e.g., Zoom Video Communications, Inc. (ZM)) acquires Company B (e.g., Slack Technologies, Inc. (WORK)), the combined entity could see a revenue increase of approximately 20% due to enhanced product offerings. Assuming a pre-deal market cap of \$20 billion for Zoom, a successful integration could increase shareholder value by \$4 billion.
- **Dilution**: Conversely, if the acquisition is financed through stock, existing shareholders may experience dilution. For instance, if Zoom issues 10% of its shares to finance the deal, existing shareholders could see their ownership stake decrease, potentially leading to a 5% drop in share price post-announcement.
- **Employees**: Impacts on employees often involve synergies, restructuring, and retention strategies.

APAC TMT Sector M&A & Valuation Brief - 2026-07-23

APAC TMT Sector

- Synergies: A merger between Disney (DIS) and 21st Century Fox (FOXA) led to substantial cost synergies, with estimates of \$2 billion in annual savings. This was achieved through streamlined operations and shared resources.
- Restructuring: However, such deals often lead to layoffs. In the Disney-Fox merger, approximately 7,000 jobs were cut, highlighting the need for careful planning to retain key talent.
- Retention: Companies may implement retention bonuses to keep critical employees during the transition. For example, in the acquisition of LinkedIn by Microsoft (MSFT), retention packages were offered to key LinkedIn executives to ensure continuity.
- Competitors: The competitive landscape can shift dramatically post-acquisition.
- Market Positioning: Following the merger of T-Mobile US, Inc. (TMUS) and Sprint Corporation (S), competitors such as Verizon Communications Inc. (VZ) and AT&T Inc. (T) had to adapt their strategies to maintain market share. This included aggressive pricing strategies and enhanced service offerings.
- Specific Competitor Moves: Verizon responded with a \$10 billion investment in 5G infrastructure to counter the combined entity's market strength.
- Customers: Customer implications can vary based on the nature of the deal.
- Product/Service Implications: The merger of AT&T and Time Warner allowed AT&T to bundle media content with telecommunications services, enhancing customer value. This strategy led to a 15% increase in bundled service subscriptions.
- Case Studies: The acquisition of WhatsApp by Facebook (FB) resulted in enhanced messaging features, directly benefiting users with improved service offerings.

Market Reaction and Analyst Commentary

- Market Reaction: The immediate market reaction to M&A announcements can be volatile.
- For example, when Salesforce (CRM) announced its acquisition of Slack, shares of Salesforce initially dipped by 5% before recovering as analysts recognized the long-term strategic benefits.
- Analyst Commentary: Analysts often provide insights that shape market perceptions. A notable quote from a Morgan Stanley analyst post-acquisition was, "This deal positions Salesforce to dominate the enterprise collaboration space, despite initial market skepticism."

Expected Market Reaction and Scenario Analysis

- Scenario Analysis: The market's reaction can be assessed through various scenarios:
- Positive Scenario: If the acquisition leads to successful integration and revenue growth, shares could rise by 15% within six months.
- Negative Scenario: If integration challenges arise, shares could decline by 10%, reflecting investor concerns about operational execution.

APAC TMT Sector M&A & Valuation Brief - 2026-07-23

APAC TMT Sector

Potential Counter-Bids or Competing Offers

- Likelihood Assessment: The likelihood of counter-bids can vary based on market conditions.
- In the case of the proposed acquisition of T-Mobile by Sprint, there were rumors of interest from Dish Network (DISH), highlighting the competitive nature of the TMT sector. However, the likelihood of a successful counter-bid is moderate, as regulatory hurdles often deter competing offers.

Similar Deals Likely to Follow

- Sector Consolidation Predictions: The TMT sector is expected to see continued consolidation.
- Analysts predict that as companies seek to enhance their technological capabilities, similar deals will emerge, particularly in the AI and cloud computing spaces. Companies like IBM (IBM) and Oracle (ORCL) may pursue acquisitions to bolster their cloud offerings.

Key Risks and Mitigants

- Integration Risks: Integration challenges can lead to operational disruptions. Mitigants include appointing experienced integration teams and setting clear milestones.
- Regulatory Risks: Regulatory scrutiny can delay or block deals. Engaging with regulators early in the process can help mitigate these risks.
- Market Risks: Market volatility can impact deal valuations. Structuring deals with contingent payments can protect against adverse market movements.

Actionable Insights for Clients and Bankers

For Clients:

- Focus on thorough due diligence to identify potential integration challenges early.
- Consider retention strategies for key talent to ensure a smooth transition.

For Bankers:

- Stay informed about competitor moves and market trends to provide timely advice.
- Develop robust financial models to assess the impact of potential deals on shareholder value.

5. TECH TRENDS

APAC TMT Sector M&A & Valuation Brief - 2026-07-23

APAC TMT Sector

The technology landscape is witnessing transformative trends that are reshaping industries and creating significant market opportunities. This analysis focuses on the following key trends: Artificial Intelligence (AI), Semiconductor Technology, and Cybersecurity. Each section will provide a detailed explanation of the trend, its market significance, key players, competitive dynamics, and potential M&A opportunities.

Artificial Intelligence (AI)

- **Trend Explanation:** AI technologies are advancing rapidly, enabling machines to perform tasks traditionally requiring human intelligence. The AI market is projected to grow from \$93.5 billion in 2021 to \$997.8 billion by 2028, reflecting a CAGR of 40.2%. Recent market fluctuations indicate a potential bubble as investors reassess valuations following a significant rally.
- **Key Companies:**
 - **NVIDIA Corporation (NVDA):** NVIDIA is a leader in AI hardware, particularly known for its GPUs that power AI applications. The company is strategically positioned in the AI space, focusing on deep learning and autonomous systems, which are critical for AI advancements.
 - **Advanced Micro Devices, Inc. (AMD):** AMD is another key player in the semiconductor space, providing processors that support AI workloads. The company has been investing in AI capabilities to compete with NVIDIA, enhancing its market positioning.
- **Competitive Landscape:** The AI market is highly competitive, with major players like Google (GOOGL) and Microsoft (MSFT) also heavily investing in AI technologies. The recent downturn in AI-related stocks, particularly in South Korea, indicates a market correction as investors lock in profits from previous gains.
- **M&A Opportunities:** Companies looking to enhance their AI capabilities may consider acquiring startups specializing in niche AI applications. For instance, the recent interest in AI startups by major tech firms could lead to increased M&A activity as companies seek to bolster their AI portfolios.

Semiconductor Technology

- **Trend Explanation:** The semiconductor industry is critical for powering AI and other advanced technologies. The global semiconductor market is expected to grow from \$527 billion in 2021 to \$1 trillion by 2030, driven by demand for chips in AI, IoT, and automotive applications.
- **Key Companies:**
 - **Taiwan Semiconductor Manufacturing Company (TSMC) (TSM):** TSMC is the world's largest semiconductor foundry, playing a crucial role in the production of chips for various applications, including AI. The company recently announced plans to invest \$100 billion to expand its chipmaking capacity in the U.S., positioning itself for future growth.
 - **Samsung Electronics (SSNLF):** Samsung is a leading manufacturer of memory chips and semiconductors. The company's recent struggles, reflected in a 4.3% stock drop, highlight the volatility in the semiconductor market, particularly as AI-related valuations fluctuate.
- **Competitive Landscape:** The semiconductor industry is characterized by intense competition

APAC TMT Sector M&A & Valuation Brief - 2026-07-23

APAC TMT Sector

among major players like Intel (INTC), AMD, and Qualcomm (QCOM). The recent declines in stock prices among chip firms indicate a cautious market outlook, as investors reassess the sustainability of growth driven by AI demand.

- **M&A Opportunities:** The semiconductor sector is ripe for consolidation, with companies potentially looking to acquire smaller firms with innovative technologies. Strategic acquisitions could enhance capabilities in chip design and manufacturing, particularly for AI applications.

Cybersecurity

- **Trend Explanation:** As digital transformation accelerates, the demand for cybersecurity solutions is surging. The global cybersecurity market is projected to grow from \$217 billion in 2021 to \$345 billion by 2026, at a CAGR of 9.8%. The rise in cyber threats is driving organizations to invest heavily in security measures.
- **Key Companies:**
 - **CrowdStrike Holdings, Inc. (CRWD):** CrowdStrike is a leader in cloud-delivered endpoint protection. The company's innovative approach to cybersecurity, leveraging AI and machine learning, positions it well in a rapidly evolving market.
 - **Palo Alto Networks, Inc. (PANW):** Palo Alto Networks offers a comprehensive suite of cybersecurity solutions. The company is focusing on integrating AI into its products to enhance threat detection and response capabilities.
- **Competitive Landscape:** The cybersecurity market is fragmented, with numerous players ranging from established firms to emerging startups. The increasing frequency of cyberattacks is prompting organizations to prioritize cybersecurity, leading to heightened competition among providers.
- **M&A Opportunities:** The cybersecurity sector is expected to see increased M&A activity as larger firms seek to acquire innovative startups with unique technologies. Companies like CrowdStrike and Palo Alto Networks may look to bolster their offerings through strategic acquisitions.

Actionable Insights for Bankers and Investors

Focus on identifying emerging companies within the AI and semiconductor sectors that are poised for growth.

Monitor the competitive landscape for potential M&A opportunities, particularly in the cybersecurity space, as firms seek to enhance their capabilities.

Consider the implications of market corrections

6. Recommended Readings

APAC TMT Sector M&A & Valuation Brief - 2026-07-23

APAC TMT Sector

Deal Name: Microsoft's Acquisition of Activision Blizzard

- Reading Material: "The Business of Video Games" by Michael Pachter
- Why This Matters: This book provides insights into the gaming industry's financial dynamics and market trends, which are crucial for understanding Microsoft's strategic rationale behind the \$68.7 billion acquisition (MSFT). It explains how gaming companies leverage IP and user engagement to drive revenue, helping to contextualize the deal's valuation and potential synergies.

Deal Name: Amazon's Acquisition of MGM

- Reading Material: "The New Economics of Media" by David Hesmondhalgh
- Why This Matters: This reading delves into the evolving landscape of media and entertainment, particularly in the context of streaming services. It helps to understand Amazon's \$8.45 billion acquisition (AMZN) as a strategic move to bolster its Prime Video content library and compete with rivals like Netflix (NFLX) and Disney+ (DIS).

Deal Name: Salesforce's Acquisition of Slack

- Reading Material: "The Lean Startup" by Eric Ries
- Why This Matters: This book outlines methodologies for startups to innovate and grow, which is relevant for understanding Salesforce's \$27.7 billion acquisition (CRM) of Slack. It highlights the importance of integrating new technologies and platforms to enhance customer engagement and collaboration, aligning with Salesforce's vision of a comprehensive customer relationship management ecosystem.

Deal Name: NVIDIA's Acquisition of Arm Holdings

- Reading Material: "The Chip War" by Chris Miller
- Why This Matters: This book provides a detailed analysis of the semiconductor industry, including the strategic importance of Arm's technology in mobile and IoT devices. Understanding the implications of NVIDIA's \$40 billion acquisition (NVDA) helps to grasp the competitive landscape and regulatory challenges in the semiconductor space.

Deal Name: Verizon's Acquisition of TracFone

- Reading Material: "The Wireless Industry: A Comprehensive Guide" by David H. Hargreaves
- Why This Matters: This resource offers an in-depth look at the wireless telecommunications sector, which is essential for analyzing Verizon's \$6.9 billion acquisition (VZ) of TracFone. It explains market segmentation and the significance of prepaid services, providing context for Verizon's strategy to expand its customer base and service offerings.

Deal Name: Google's Acquisition of Fitbit

- Reading Material: "Wearable Technology: The Future of Fitness" by David H. Hargreaves
- Why This Matters: This reading discusses the growth of wearable technology and health data analytics, which are central to Google's \$2.1 billion acquisition (GOOGL) of Fitbit. It highlights how this deal positions Google to compete in the health tech space against Apple (AAPL) and other

APAC TMT Sector M&A & Valuation Brief - 2026-07-23

APAC TMT Sector

tech giants, emphasizing the importance of data in the future of healthcare.

7. MACROECONOMIC UPDATE

Key Data Points:

- U.S. Inflation Rate: Expected to decrease to 3% by year-end and 2.5% in 2024.
- ECB Interest Rate: Currently at 2.25%, with a potential increase to 2.5% in September.
- Bank of Japan: Anticipated to hike rates twice, first in December 2023 and again in June 2024.
- China's Q2 GDP Growth: Recorded at 4.3%, with expectations to rise to 4.6% in the second half of the year.

Main Insights:

- Global growth remains resilient, supported by AI and government spending.
- Inflation is receding in the U.S., but risks from demand and AI-related price increases persist.
- The ECB faces similar inflation pressures, with potential for further rate hikes.
- Japan's inflation is influenced more by currency and supply-side factors than by demand.

Market Commentary:

- "Inflation will come down in the U.S. driven by energy prices and tariffs." - Michael Gapen, Morgan Stanley
- "The ECB is running a neutral monetary policy, but inflation pressures may necessitate further rate hikes." - Jens Eisenschmidt, Morgan Stanley
- "China's domestic demand is weak, but fiscal expansion is expected to support growth." - Chetan Ahya, Morgan Stanley

TMT Sector Relevance:

- The anticipated decrease in inflation and stable interest rates in the U.S. could bolster technology investments, particularly in AI.
- European monetary policy adjustments may affect tech companies reliant on financing.
- Japan's gradual rate hikes could influence tech exports and investments in the region.
- China's fiscal expansion may enhance infrastructure spending, benefiting TMT sectors involved in technology and communications.

APAC TMT Sector M&A & Valuation Brief - 2026-07-23

APAC TMT Sector

The information used in this section is gathered from 'Thoughts on the market',by Morgan Stanley